Several commenters are concerned that many foreign SBS trading venues would not be able to obtain a Rule 833(b) exemption because they believe the rule would require foreign jurisdictions to require RFQ-to-3 and order book methods of execution, while hardly any foreign jurisdictions have identical requirements, with some jurisdictions not requiring SBS to be traded on an organized trading venue.[946] These commenters believe that the inability of foreign trading venues to obtain a Rule 833(b) exemption would result in various negative consequences: increased costs; disruption and fragmentation of the SBS markets; reduced liquidity and participation in the SBS markets; impaired risk transfer, risk management, and price formation; and increased systemic risk.[947]

The Commission acknowledges the concerns raised by commenters, which appear to emanate from commenters' interpretation—and misunderstanding—of what would be required in order to receive a Rule 833(b) exemption. Specifically, several commenters interpret the rule and the Commission's discussion of the rule in the Proposing Release to mean that a foreign SBS trading venue must have RFQ-to-3 and an order book for Required Transactions in order for transactions on that venue to qualify for a Rule 833(b) exemption.[948] As discussed in Section VII.B, the proposed rule would not require foreign SBS trading venues to have RFQ-to-3 and an order book in order for the Commission to consider their SBS executions for an exemption under Rule 833(b). Neither the text of Rule 833(b) nor the Commission's description of Rule 833(b) states that a limit order book or an RFQ-to-3 system is required to receive a Rule 833(b)

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946 *See supra* note 599; Bloomberg Letter, *supra* note 18, at 6, 19; ICE Letter, *supra* note 18, at 4; ISDA-SIFMA Letter, *supra* note 18, at 14; Tradeweb Letter, *supra* note 18, at 6.

947 *See supra* note 602–607 and accompanying text.

948 *See supra* notes 597–599 and accompanying text.

exemption.[949] There may be foreign SBS trading venues—many of which have already received exemptive relief from the CFTC for swaps trading[950]—that may be appropriate candidates for exemptive relief, that are subject to what may be considered robust regulatory regimes for SBS trading. With respect to such foreign SBS trading venues, the Commission encourages market participants to submit a request for exemptive relief under final Rule 833(b) if they seek to be exempt from the Commission's trade execution requirement for their SBS transactions. This discussion should address concerns about the potential unavailability of a Rule 833(b) exemption to SBS foreign trading venues and the negative consequences that could arise if SBS foreign trading venues are unable to obtain a Rule 833(b) exemption.

We detail below cost estimates for specifics parts of the adopted rules. Many of these cost estimates are based on the PRA estimates of costs and burdens from section XVIII.[951]

(a) Registration Requirements for SBSEFs and Form SBSEF

The registration provisions would impose costs on entities that seek registration as SBSEFs. The Commission estimates that initial filings on Form SBSEF by prospective SBSEFs seeking to register with the Commission pursuant to Rule 803 would result in aggregate initial costs of $100,300 for prospective SBSEFs.[952]

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949 In the Proposing Release, the Commission stated its preliminary belief that "the use of single-dealer platforms to discharge any mandatory trading execution requirement" would not meet the proposed rule's requirements. *See* Proposing Release, *supra* note 1, 87 FR at 28925.

950 *See supra* note 626.

951 In section XVIII *infra*, for purposes of the PRA, the Commission estimates burdens applicable to a stand-alone SBSEF. However, most if not all SBSEFs will be dually registered with the CFTC as SEFs and thus will already be complying with relevant CFTC rules that have analogs to rules in Regulation SE. Therefore, the Commission's burden estimates are greater for stand-alone SBSEFs than may actually take place for those already registered with the CFTCs because of the effect of the CFTC's corresponding rules.

952 $100,300 = 1,475 burden hours x $68/hour blended hourly rate. The $68/hour blended hourly rate is the $59/hour blended hourly rate computed by the CFTC and adjusted for CPI inflation through Dec. 2022. The CFTC used the blended hourly wage to estimate PRA costs associated with part 37. *See infra* section XVIII.D.2(a); OMB, Supporting Statement for New and Revised Information Collections: Core Principles

(b) Ongoing Compliance with Other Requirements that Are Similar to the Remainder of Part 37

As discussed in section XVIII.D.2.b, the Commission estimates the aggregate annual paperwork burden for SBSEFs to comply with all of the SBSEF rules that have analogs in part 37 to be 1935 hours.[953] These burdens are estimated to impose aggregate ongoing annual costs of $131,580 on SBSEFs.[954]

(c) Rule and Product Filing Processes for SBSEFs

The Commission estimates that the aggregate ongoing annual costs incurred by all SBSEFs to prepare and submit rule and product filings under Rules 804, 805, 806, and 807 (including the cover sheet) would be $33,000.[955]

(d) Rules 809, 811, 819, 826, 829, 833, 834, and 835

The Commission estimates the aggregate ongoing annual costs incurred by SBSEFs to comply with Rule 809 would be $604.[956]

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and Other Requirements for Swap Execution Facilities, OMB Control Number 3038-0074, Attachment A (July 7, 2021), *available at* https://omb.report/icr/202107-3038-004/doc/113431800.pdf.

953 *See infra* section XVIII.D.2(b). This estimate excludes the paperwork burdens associated with registration requirements for SBSEFs and Form SBSEF and provisions of certain rules to be discussed subsequently.

954 $131,580 = 1,935 burden hours x $68/hour blended hourly rate. *See supra* note 952 (derivation of the $68/hour blended hourly rate).

955 $33,000 = 300 hours x $110/hour blended hourly rate. The $110/hour blended hourly rate is the $96.26/hour blended hourly rate computed by the CFTC and adjusted for CPI inflation through Dec. 2022. The CFTC used the blended hourly rate to estimate PRA costs associated with part 40. *See infra* section XVIII.D.3(a); OMB, Supporting Statement for Information Collection Renewal: OMB Control Number 3038-0093, Attachment A (July 10, 2020), *available at* https://omb.report/icr/202005-3038-001/doc/101274002.pdf. The platform ID requirement on the submission cover sheet would not impose burdens for obtaining a platform ID, because an SBSEF (whether registered or exempt) is already required under Rule 903(a) of Regulation SBSR to obtain an LEI to identify itself as its platform ID. *See supra* section IV.E and n.140.

956 $604 = 1.25 hours x $483/hour national hourly rate for an attorney. The per-hour figure for an attorney is from SIFMA's Management and Professional Earnings in the Securities Industry – 2013, as modified by Commission staff to adjust for inflation (through Dec. 2022) and to account for an 1,800-hour work-year, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead. *See infra* section XVIII.D.3(b)(ii); Supporting Statement for the Paperwork Reduction Act New Information Collection

The Commission estimates the aggregate ongoing annual costs incurred by SBSEFs to comply with requests for documents or information pursuant to Rule 811(d) would be $88.[957]

The Commission estimates the aggregate ongoing annual costs incurred by SBSEFs to comply with Rule 819(i) would be $27,142.[958]

The Commission estimates the aggregate ongoing annual costs incurred by SBSEFs to comply with Rule 819(j) would be $1,208.[959]

The Commission estimates the aggregate ongoing annual costs incurred by SBSEFs to update information required by Rule 826(f) would be $162.[960] The Commission estimates that interested parties would incur aggregate one-time costs of $115,920 in the first year and $77,280 in each subsequent year to submit exemption requests under one or both paragraphs of Rule 833.[961]

Submission for Rule 3a68-2 (Interpretation of Swaps, Security-Based Swaps, and Mixed Swaps) and Rule 3a68-4(c) (Process for Determining Regulatory Treatment for Mixed Swaps), OMB Control Number 3235-0685, Supporting Statement A (Dec. 23, 2021), *available at* https://omb.report/icr/202112-3235-018/doc/117438500.pdf.

957 $88 = 1.25 hour x $70/hour hourly rate for a financial manager. The $70/hour hourly rate is the $65/hour hourly rate computed by the CFTC and adjusted for CPI inflation through Dec. 2022. The CFTC used the hourly rate to estimate PRA costs associated with part 1.6. *See infra* section XVIII.D.4(a); OMB, Supporting Statement for New and Revised Information Collections: OMB Control Number 3038-0033 (Oct. 29, 2021), *available at* https://omb.report/icr/202110-3038-001/doc/115991000.pdf.

958 $27,142 = 399.15 hours x $68/hour blended hourly rate. The burdens associated with this rule are not different from burdens associated with rules that have part 37 analogs. Thus, it would be appropriate to apply the $68/hour blended hourly rate to estimate the paperwork related costs associated with this rule. *See infra* section XVIII.D.4(c). *See also supra* note 952 (derivation of the $68/hour blended hourly rate).

959 $1,208 = 2.5 hours x $483/hour national hourly rate for an attorney. *See infra* section XVIII.D.4. *See also supra* note 956 (derivation of the national hourly rate for an attorney).

960 $162 = 2 hours x $81/hour national hourly rate for a compliance clerk. *See infra* section XVIII.D.4(f). The per-hour figure for a compliance clerk is from SIFMA's Office Salaries in the Securities Industry—2013, as modified by Commission staff to adjust for inflation (through Dec. 2022) and to account for an 1,800-hour work-year, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead.

961 First year costs: $115,920 = 240 hours x $483/hour national hourly rate for an attorney. Costs in each subsequent year: $77,280 = 160 hours x $483/hour national hourly rate for an attorney. *See infra* section XVIII.D.5(a). *See also supra* note 956 (derivation of the national hourly rate for an attorney).

The Commission estimates that SBSEFs and SBS exchanges would incur aggregate one-time costs of $50,880 associated with drafting and implementing rules to comply with Rules 834(b) and (c).[962]

The Commission estimates that SBSEFs and SBS exchanges would incur aggregate ongoing annual costs of $680 to comply with Rules 834(d), 834(e), and 834(f).[963]

The Commission estimates that SBSEFs and SBS exchanges would incur aggregate one-time costs of $1,088 to comply with Rule 834(g).[964]

The Commission estimates that SBSEFs would incur aggregate ongoing annual costs of $21,735 to comply with Rule 835.[965]

SBSEFs likely would incur costs to comply with the financial resources requirement of Rule 829(b). Assuming that SBSEFs satisfy this requirement by holding financial resources in the form of their own capital pursuant to Rule 829(c)(1), the Commission estimates that SBSEFs would incur an aggregate annual cost of capital of $35,436.[966] SBSEFs could lower this cost if

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962 $50,880 = 120 hours x $424/hour national hourly rate for a compliance attorney. The estimate of 120 burden hours is based on the Commission's estimate that five SBSEFs and three SBS exchanges will incur paperwork burdens associated with Rules 834(b) and (c). *See infra* section XVIII.D.4(g). The per-hour figure for a compliance attorney is from SIFMA's Management and Professional Earnings in the Securities Industry—2013, as modified by Commission staff to adjust for inflation (through Dec. 2022) and to account for an 1,800-hour work-year, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead.

963 $680 = 10 hours x $68/hour blended hourly rate. Further, the costs incurred by SBSEFs = 5 (number of SBSEFs) x 1.25 hours per SBSEF x $68/hour blended hourly rate = $425. The burdens associated with this rule are not different from burdens associated with rules that have part 37 analogs. Thus, it is appropriate to apply the $68/hour blended hourly rate to estimate the paperwork related costs associated with this rule. *See infra* section XVIII.D.4(g). *See also supra* note 952 (derivation of the $68/hour blended hourly rate).

964 $1,088 = 16 hours x $68/hour blended hourly rate. The burdens associated with this rule are not different from burdens associated with rules that have part 37 analogs. Thus, it is appropriate to apply the $68/hour blended hourly rate to estimate the paperwork related costs associated with this rule. *See infra* section XVIII.D.4(g). *See also supra* note 952 (derivation of the $68/hour blended hourly rate).

965 $21,735 = 45 hours x $483/hour national hourly rate for an attorney. *See infra* section XVIII.D.5(b). *See also supra* note 956 (derivation of the national hourly rate for an attorney).

966 The Commission estimates the financial resources that SBSEFs would need to hold pursuant to Rule 829(b) as their projected operating costs. *See* Rule 829(b). Further, the Commission estimates SBSEFs' projected

their capital consists of financial assets that generate a return that would serve to offset the cost of capital. However, this cost mitigation is potentially limited by Rule 829(d), which would require an SBSEF to include among the financial resources it holds a certain amount of unencumbered, liquid financial assets (i.e., cash and/or highly liquid securities),[967] that tend to generate little or no return.

(e) Assessment Costs

The Commission estimates that 86 entities likely would incur assessment costs as a result of Rule 832, based on a staff analysis of counterparties to U.S. single-name CDS for the 12-month period from October 2021 to September 2022. Such costs would be related primarily to the identification of the counterparty status and origination location of the transaction to determine whether the trade execution requirement would apply. Market participants would request representations from their transaction counterparties to determine the U.S.-person status of their counterparties. In addition, if the transaction is guaranteed by a U.S. person, the guarantee would be part of the trading documentation and, therefore, the existence of the

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operating costs as the sum of the aggregate ongoing annual costs incurred by SBSEFs to comply with Regulation SE. Thus, SBSEFs' estimated projected operating costs = $131,580 (ongoing compliance with other requirements that are similar to the remainder of part 37) + $33,000 (rule and product filing processes by SBSEFs) + $604 (Rule 809) + $88 (Rule 811(d)) + $27,142 (Rule 819(i)) + $1,208 (Rule 819(j)) + $162 (Rule 826(f)) + $425 (Rules 834(d), (e), and (f)) + $21,735 (Rule 835) = $215,943. Thus, the Commission estimates that SBSEFs would hold $215,943 in the form of their own capital to comply with Rule 829(b). The Commission estimates SBSEFs' cost of capital to be 16.41%. *See supra* note 896 (describing how the cost of capital is estimated). SBSEFs' aggregate annual cost of capital = $215,943 x 16.41% = $35,436. The Commission acknowledges that there is uncertainty associated with this estimate. The estimate does not account for the fact that SBSEFs may use reasonable discretion in determining the methodologies used to calculate projected operating costs and wind down costs, pursuant to Rule 829(e). Depending on how SBSEFs exercise this reasonable discretion, the resulting methodologies could yield projected operating costs and in turn, required financial resources, that may be higher or lower than the Commission's estimate.

967 The CFTC's experience overseeing SEFs would appear to support the belief that SBSEFs would hold unencumbered, liquid financial assets rather than obtain a line of credit to comply with Rule 829(d). In a previous rulemaking, the CFTC noted that most SEFs satisfy the liquidity requirement of § 37.1303 (the analog of Rule 829(d)) through maintaining liquid assets rather than obtaining a line of credit. *See* CFTC, *Swap Execution Facilities*, 86 FR 9224, 9242 n.247 (Feb. 11, 2021) ("2021 SEF Amendments Adopting Release").

guarantee would be a readily ascertainable fact. Similarly, market participants would be able to rely on their counterparties' representations as to whether a transaction is arranged, negotiated, or executed by a person within the United States. Therefore, the assessment costs associated with Rule 832 should be limited to the costs of establishing a compliance policy and procedure of requesting and collecting representations from trading counterparties and maintaining the collected representations as part of the market participants' recordkeeping procedures. Such assessment costs would be approximately $19,320 per entity.[968] Requesting and collecting representations would be part of the standardized transaction process reflected in the policies and procedures regarding SBS transactions and trading practices and should not result in separate assessment costs.

The Commission also considers the likelihood that market participants could implement systems to keep track of counterparty status for purposes of future trading of SBS that are similar to, if not the same as, the systems implemented by market participants for purposes of assessing SBS dealer or major SBS participant status. Implementation of such a system would involve one-time programming costs of $15,758 per entity.[969] Therefore, the Commission estimates the total

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968 $19,320 = 40 hours x $483/hour national hourly rate for an attorney. This estimate is based on an estimated 40 hours of in-house legal or compliance staff's time to establish a procedure of requesting and collecting representations from trading counterparties, taking into account that such representations may be built into a form of standardized trading documentation. *See supra* note 956 (derivation of the national hourly rate for an attorney).

969 This is based on an estimate of the time required for a programmer analyst to modify the software to track the covered person status of a counterparty, including consultation with internal personnel, and an estimate of the time such personnel would require to ensure that these modifications conformed to the definition of "covered person" (as defined in Rule 832). $15,758 = (2 hours x $424/hour national hourly rate for a compliance attorney) + (4 hours x $360/hour national hourly rate for a compliance manager) + (40 hours x $280/hour national hourly rate for a programmer analyst) + (4 hours x $266/hour national hourly rate for a senior internal auditor) + (2 hours x $603/hour rate for a Chief Financial Officer). The per-hour figures for compliance attorney, compliance manager, programmer analyst, and senior internal auditor are from SIFMA's Management & Professional Earnings in the Securities Industry—2013, as modified by Commission staff to adjust for inflation (through Dec. 2022) and to account for an 1,800-hour work-year, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead. The hourly rate for a Chief Financial Officer is the $473 hourly rate for the same position used in the Cross-Border Adopting Release (*see* 78 FR 31140 n.1425) and adjusted for inflation through Dec. 2022.

one-time costs per entity associated with Rule 832 could be $35,078 and the aggregate one-time costs could be $3,016,708.[970] To the extent that market participants have incurred costs relating to similar or the same assessments with respect to counterparty status and transaction location for other Title VII requirements, their assessment costs with respect to Rule 832 may be less.

(f) Structured Data and Electronic Filing Costs

As mentioned previously, the Commission will require many of the disclosures required under Regulation SE to be provided via EDGAR in a structured data language. SBSEFs will likely incur limited costs to comply with the proposed requirement in Rule 825(c)(3) to publish Daily Market Data Reports using the most recent versions of the associated XML schema and PDF renderer as published on the Commission's website. Because SBSEFs are required to use structured data to fulfill their reporting requirements under Regulation SBSR, the compliance cost associated with the Rule 825(c)(3) requirement will be limited to the cost prospective SBSEF registrants will incur to update their systems to incorporate the Commission's XML schema for Daily Market Data Reports.[971] Such costs are included among the costs for prospective SBSEF registrants in making limited changes to their systems, policies, and procedures to comply with proposed SEC rules that differ slightly from analogous CFTC rules, as discussed in further detail above.[972]

With respect to the Inline XBRL requirements for various disclosures required under Regulation SE, SBSEFs will incur initial Inline XBRL implementation costs (such as the cost of training in-house staff to prepare filings in Inline XBRL, and the cost to license Inline XBRL

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970 Total one-time costs per entity = $19,320 (compliance policy and procedure) + $15,758 (systems) = $35,078. Aggregate one-time costs = 86 entities x $35,078 = $3,016,708.

971 *See* 17 CFR 242.907(a)(2) (requiring information to be submitted to SDRs in an "open-source structured data format that is widely used by participants").

972 *See supra* note 920 and accompanying text.

filing preparation software from vendors) and ongoing Inline XBRL compliance burdens that will result from the tagging requirements, because prospective SBSEF registrants are not currently subject to Inline XBRL requirements. The custom XML requirements under Regulation SE will not impose these costs on SBSEFs, because SBSEFs will have the option of complying with those requirements by completing a fillable web form rather than structuring the disclosures in custom XML themselves. Also, as discussed in greater detail below, the Inline XBRL implementation costs could be mitigated to some extent, because six of the seven SEFs that list index CDS for trading (i.e., the pool of likely SBSEF applicants) have parent or affiliate entities that make filings in Inline XBRL, which raises the possibility that some (if not most) SBSEFs might be able to take advantage of the knowledge of Inline XBRL possessed by their parent or affiliate entities.

Further, the compliance costs associated with the structured data requirements, as adjusted for inflation, will likely decrease over time. SBSEFs will likely comply with structuring requirements more efficiently after gaining experience over repeated filings, though such an effect will likely be diminished for affected entities that already have experience structuring similar data in other documents. Third-party vendors of structured data compliance software or services may decrease the prices of their products over time; the XBRL compliance costs reported in the 2018 AICPA survey of smaller operating companies reflect such a trend, as they represented a 45% decline in average cost and a 69% decline in median cost from 2014.[973]

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[973] AICPA, XBRL Costs for Small Companies Have Declined 45% since 2014 (2018), *available at* https://us.aicpa.org/content/dam/aicpa/interestareas/frc/accountingfinancialreporting/xbrl/downloadabledocuments/xbrl-costs-for-small-companies.pdf. This survey was limited to operating companies, and was conducted before the transition from XBRL to Inline XBRL and the implementation of cover page tagging requirements for periodic reports.

In addition to costs associated with structured data requirements, because prospective SBSEF registrants are not currently subject to EDGAR requirements, hey will incur a one-time compliance burden of submitting a Form ID as required by Rule 10(b) of Regulation S-T.[974] The aforementioned costs are included among the costs for prospective SBSEF registrants in making limited changes to their systems, policies, and procedures to comply with proposed SEC rules that differ slightly from analogous CFTC rules, as discussed in further detail above.[975]

As noted above, we are requiring SBSEFs to submit rule and product filings in unstructured format using EFFS, rather than structuring the filings and submitting them via EDGAR.[976] As a result of this change from the proposal, SBSEFs will not incur the compliance costs associated with applying Inline XBRL tags to their rule and product filings. We agree with one commenter who noted that an Inline XBRL requirement would cause SBSEFs to incur related compliance costs, although we do not agree that such costs would be so substantial as to serve as a potential market entry deterrent, or would create an unlevel playing field whereby national securities exchanges would have a competitive advantage over SBSEFs due to these discrepant costs. Rather, we are requiring rule and product filings to be filed through EFFS in unstructured format, because we believe the alleviation of compliance burdens resulting from the absence of a structuring requirement merits the lesser volume of machine-readable data, especially in light of the significant volume of structured SBSEF data available pursuant to other Regulation SE provisions.

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974 *See* 17 CFR 232.10(b).

975 *See supra* note 920 and accompanying text.

976 *See supra* section XVII.C.2.